

Linear Regression (Marketing ROI Analysis)

This project analyzes the relationship between advertising spending sales using Simple Linear Regression

```
In [1]: # Import Libraries.
import pandas as pd
import numpy as np
import seaborn as sns
import matplotlib.pyplot as plt
import statsmodels.api as sm

# Load the dataset.
df = pd.read_csv("Marketing_and_Sales_Data_Evaluate.csv")

# Display the first few rows of the dataset.
print(df.head())
```

	TV	Radio	Social_Media	Sales
0	16.0	6.566231	2.907983	54.732757
1	13.0	9.237765	2.409567	46.677897
2	41.0	15.886446	2.913410	150.177829
3	83.0	30.020028	6.922304	298.246340
4	15.0	8.437408	1.405998	56.594181

```
In [2]: # Explore the dataset.

print(df.info()) # Check for data types and missing values.
```

```
<class 'pandas.core.frame.DataFrame'>
RangeIndex: 4572 entries, 0 to 4571
Data columns (total 4 columns):
#   Column          Non-Null Count  Dtype
---  -
0   TV              4562 non-null   float64
1   Radio           4568 non-null   float64
2   Social_Media    4566 non-null   float64
3   Sales           4566 non-null   float64
dtypes: float64(4)
memory usage: 143.0 KB
None
```

```
In [3]: print(df.describe()) # Get summary statistics for numerical columns.
```

	TV	Radio	Social_Media	Sales
count	4562.000000	4568.000000	4566.000000	4566.000000
mean	54.066857	18.160356	3.323956	192.466602
std	26.125054	9.676958	2.212670	93.133092
min	10.000000	0.000684	0.000031	31.199409
25%	32.000000	10.525957	1.527849	112.322882
50%	53.000000	17.859513	3.055565	189.231172
75%	77.000000	25.649730	4.807558	272.507922
max	100.000000	48.871161	13.981662	364.079751

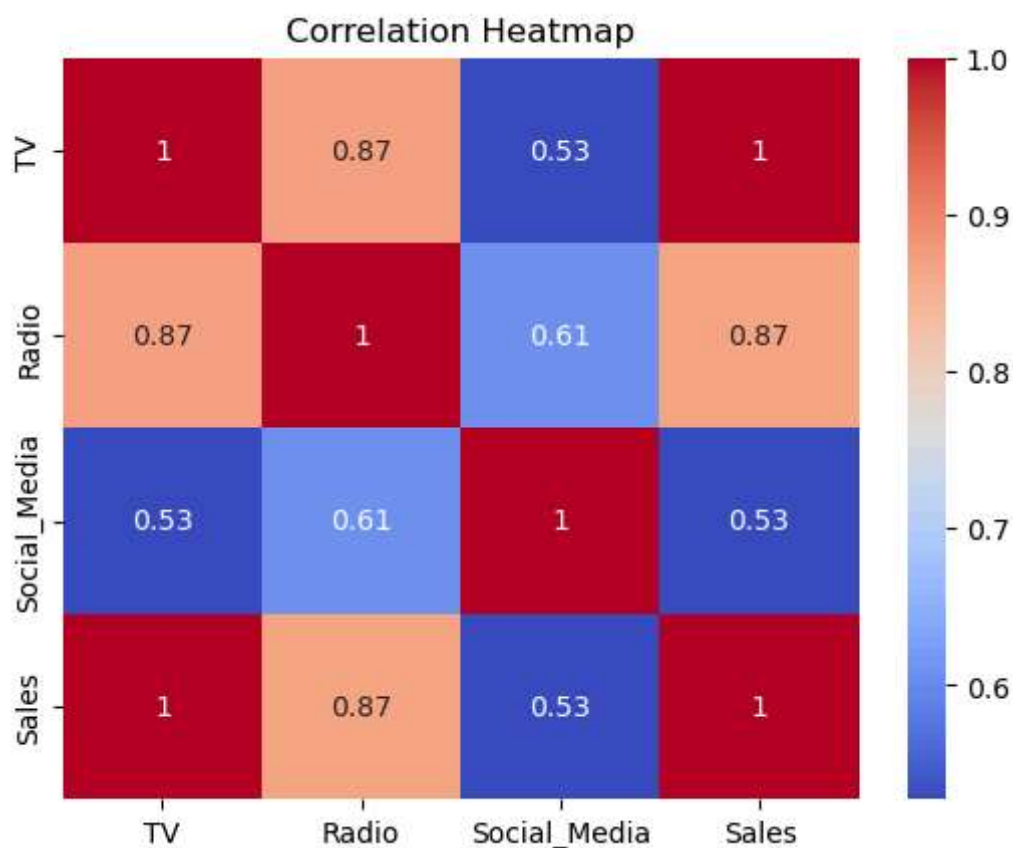
```
In [4]: print(df.isnull().sum()) # Check for missing values in each column.
```

```
TV          10
Radio        4
Social_Media 6
Sales        6
dtype: int64
```

```
In [5]: # Handle missing values if necessary (e.g., imputation or dropping rows/columns).
df = df.dropna() # Example: Drop rows with missing values.
```

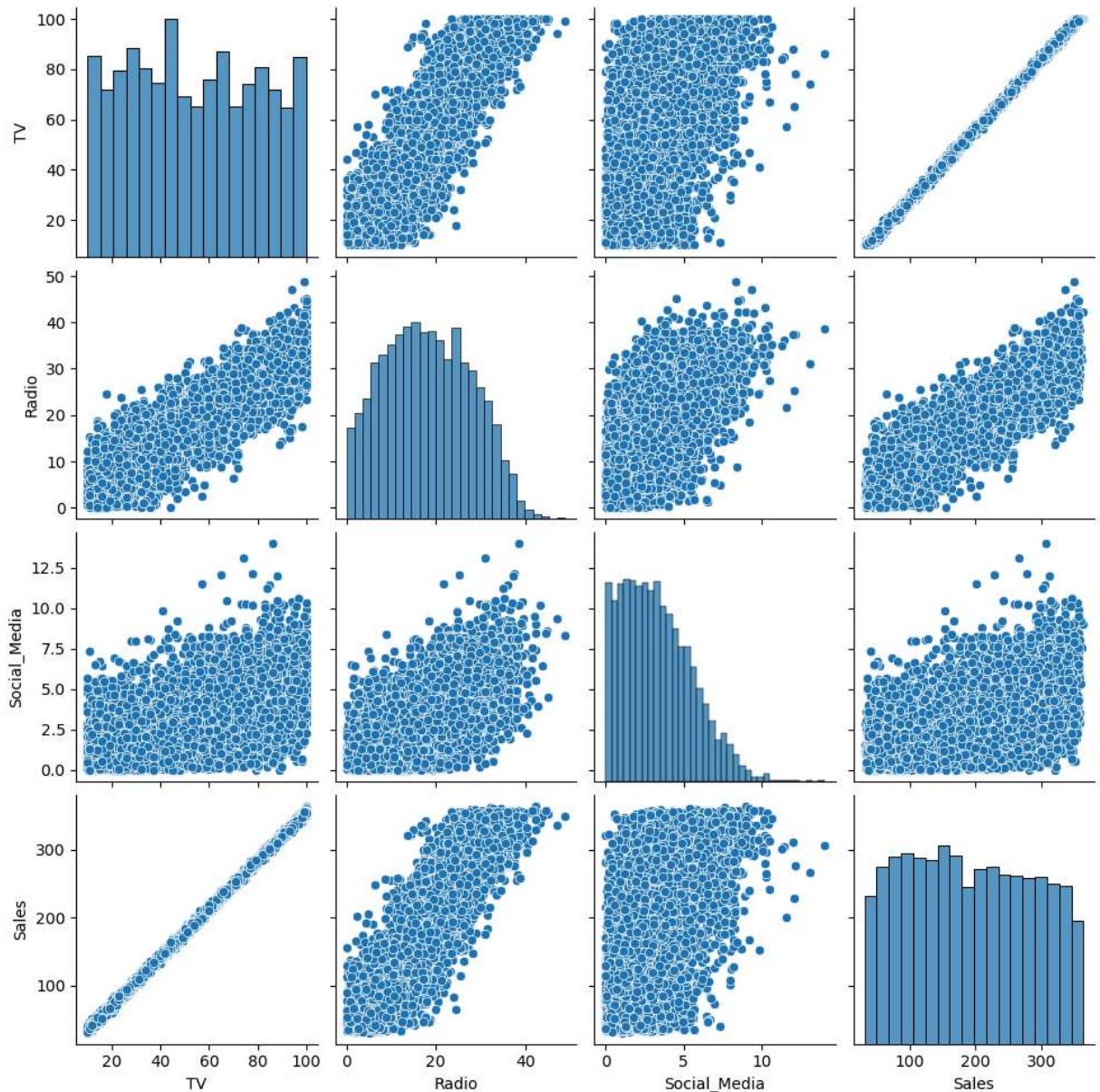
[EXPLORATORY DATA ANALYSIS]

```
In [6]: #1. Correlation Heatmap.
sns.heatmap(df.corr(), annot=True, cmap='coolwarm')
plt.title('Correlation Heatmap')
plt.show()
```



```
In [7]: #2. Pairplot to visualize relationships between variables.
sns.pairplot(df)
plt.show
```

```
Out[7]: <function matplotlib.pyplot.show(close=None, block=None)>
```



BEST PREDICTOR

```
In [8]: # find the best predictor variable for sales
correlation_matrix = df.corr()
sales_correlation = correlation_matrix['Sales'].drop('Sales') # Exclude the target
sales_correlation = sales_correlation.sort_values(ascending=False)
print(round(sales_correlation, 2))
```

```
TV          1.00
Radio       0.87
Social_Media 0.53
Name: Sales, dtype: float64
```

SIMPLE LINEAR REGRESSION MODEL

```
In [9]: # Simple Linear Regression using the best predictor variable ('TV').
X = df['TV'] # Independent variable (best predictor)
```

```

y = df['Sales'] # Dependent variable

#Add a constant to the independent variable for the intercept term.
X = sm.add_constant(X)

# Fit the OLS regression model.
model = sm.OLS(y, X).fit()

# Print the model summary.
print(model.summary())

```

OLS Regression Results

```

=====
Dep. Variable:          Sales    R-squared:                0.999
Model:                  OLS      Adj. R-squared:           0.999
Method:                 Least Squares    F-statistic:           4.517e+06
Date:                  Sat, 13 Jun 2026    Prob (F-statistic):      0.00
Time:                  09:34:49    Log-Likelihood:         -11366.
No. Observations:      4546    AIC:                    2.274e+04
Df Residuals:          4544    BIC:                    2.275e+04
Df Model:               1
Covariance Type:       nonrobust
=====

```

	coef	std err	t	P> t	[0.025	0.975]
const	-0.1325	0.101	-1.317	0.188	-0.330	0.065
TV	3.5615	0.002	2125.272	0.000	3.558	3.565

```

=====
Omnibus:                0.052    Durbin-Watson:           1.998
Prob(Omnibus):           0.974    Jarque-Bera (JB):         0.031
Skew:                   -0.001    Prob(JB):                 0.985
Kurtosis:                3.012    Cond. No.                  138.
=====

```

Notes:

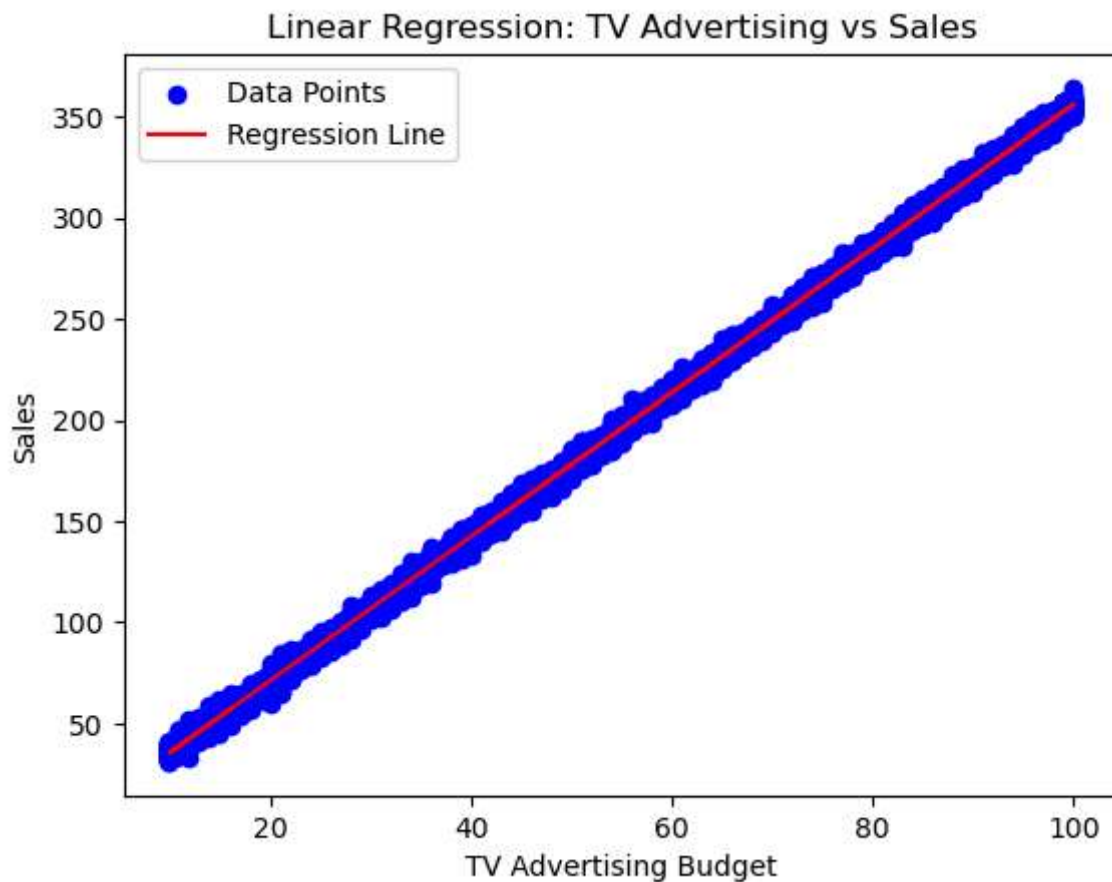
[1] Standard Errors assume that the covariance matrix of the errors is correctly specified.

REGRESSION LINE VISUALIZATION

```

In [10]: # Regression Line Visualization.
plt.scatter(df['TV'], df['Sales'], color='blue', label='Data Points')
plt.plot(df['TV'], model.predict(X), color='red', label='Regression Line')
plt.xlabel('TV Advertising Budget')
plt.ylabel('Sales')
plt.title('Linear Regression: TV Advertising vs Sales')
plt.legend()
plt.show()

```



[DIAGNOSTIC PLOTS]

In [11]: *# Verify key regression assumptions through diagnostic plots.*

Residuals vs Fitted Values Plot.

residuals = model.resid

fitted = model.fittedvalues

#Linearity Check.

plt.scatter(fitted, residuals)

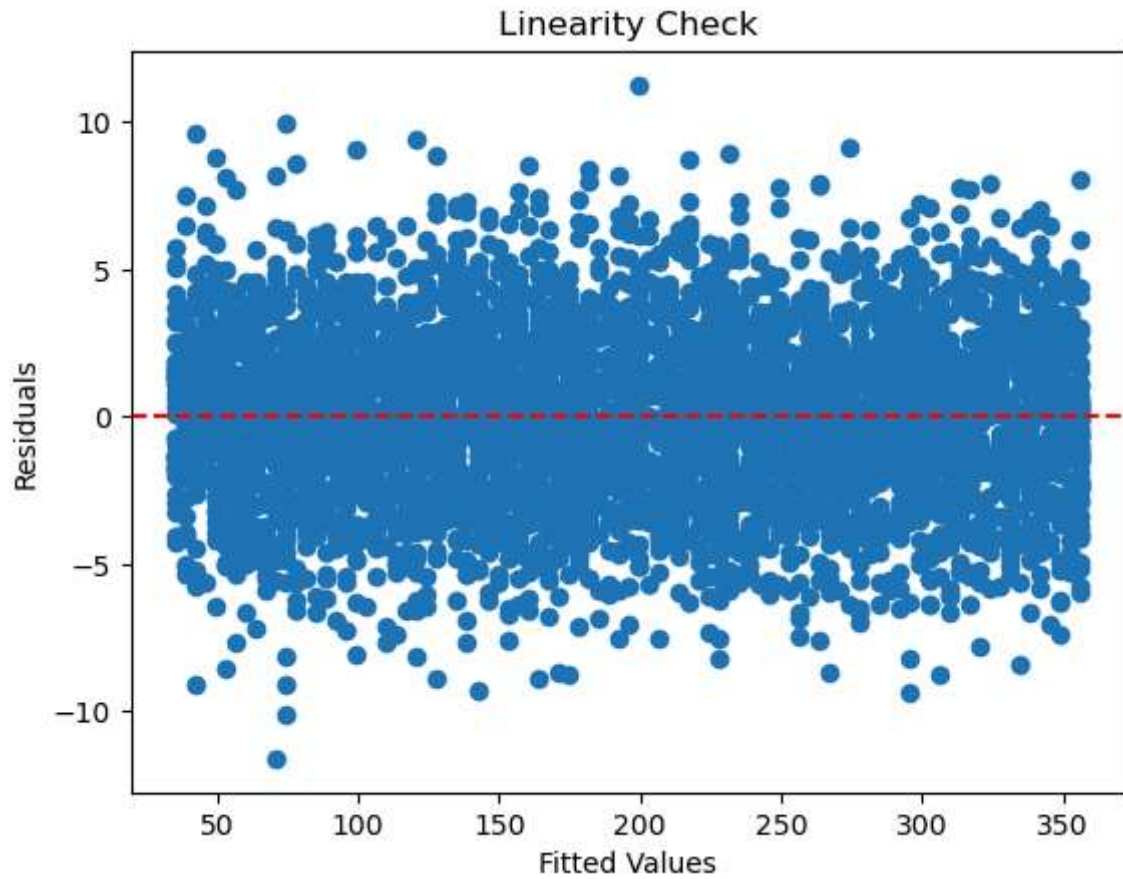
plt.axhline(0, color='red', linestyle='--')

plt.xlabel('Fitted Values')

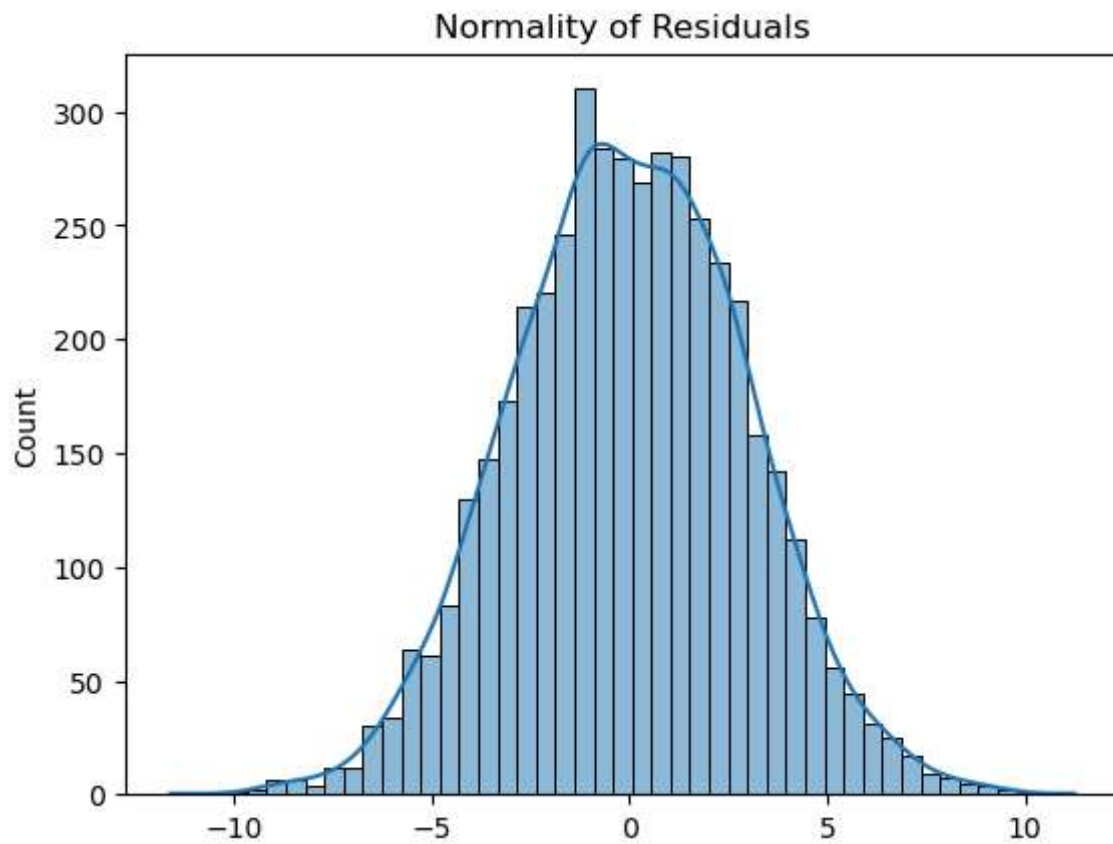
plt.ylabel('Residuals')

plt.title('Linearity Check')

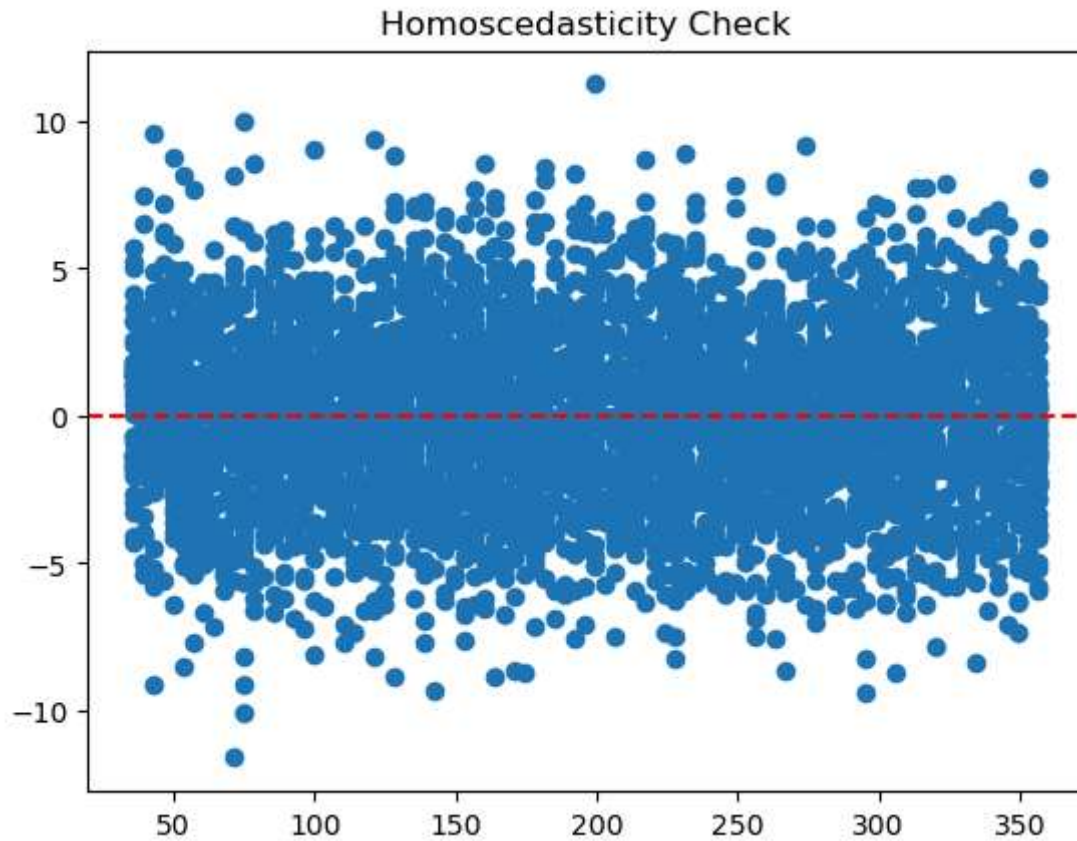
plt.show()



```
In [12]: # Normality of Residuals Check.  
sns.histplot(residuals, kde=True)  
plt.title('Normality of Residuals')  
plt.show()
```

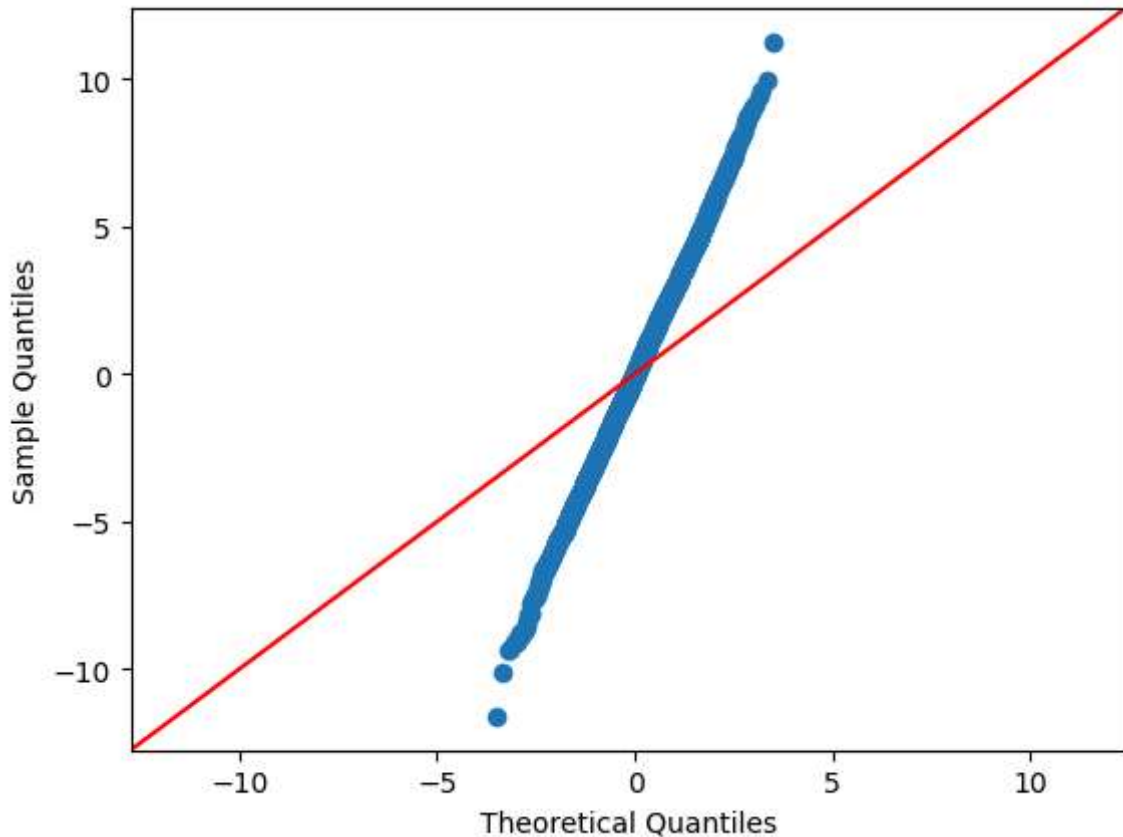


```
In [13]: # Homoscedasticity Check.  
plt.scatter(fitted, residuals)  
plt.axhline(0, color='red', linestyle='--')  
plt.title('Homoscedasticity Check')  
plt.show()
```



Q-Q PLOT

```
In [14]: sm.qqplot(residuals, line='45')  
plt.show()
```



BUSINESS INTERPRETATION

```
In [15]: # Business Interpretation of Results.
print(f"Coefficient for TV Advertising: {model.params['TV']}")
print(f"P-Values: {model.pvalues}")
print(f"R-squared: {model.rsquared}")
```

```
Coefficient for TV Advertising: 3.5615140946411636
P-Values: const    0.187919
TV              0.000000
dtype: float64
R-squared: 0.998994984518024
```

BUSINESS RECOMMENDATION

```
In [16]: # ROI Recommendation.
if model.params['TV'] > 0 and model.pvalues['TV'] < 0.05:
    print("Recommendation: Increase TV advertising budget because it has a significant positive impact on sales and high ROI.")
```

Recommendation: Increase TV advertising budget because it has a significant positive impact on sales and high ROI.